

This saved them \$10,044 in the year they took this action. This also allowed them to invest the tax savings where it could go to work for them for years or even decades rather than watching the money disappear to the tax man.

If they took this same \$45,000 and used it later to support themselves in retirement when they had no other income, their taxes would be \$2,084. This is a real tax savings of \$7,960. No fancy tricks and no advanced knowledge are required. Let's look at it in table form again.

Earned Income	Income Tax Rate	Income tax Owed
\$24,400	0% (Standard Deduction)	\$0
\$19,400	10%	\$1,940
\$1,200	12%	\$144
\$45,000	Effective Rate = 4.6%	\$2,084 total

Having a high savings rate allows for dramatic tax savings in the year money is earned, accelerating the journey to FI. This enables an arbitrage opportunity, shifting taxation of those dollars from high rates in the year they are earned to much lower rates when you don't earn income.

Taxation of Investments